

Australia

The Competition and Consumer Commission

Competition authorities around the world are leaning into the rise of digital technologies, which are radically transforming markets and economies, and business models.

In responding to these developments, agencies have been required to upgrade their capabilities to meet the demands of better regulating dynamic, digitally enabled markets. This includes developing and implementing new and innovative, and data infused processes into our everyday working practices.

But there is more going on. We are in the midst of a paradigm shift with agencies' activities and agendas transitioning from being *reactive*—and set by complainants—to being *proactive* and increasingly set by pre-emptive data gathering and monitoring.

At the Australian Competition and Consumer Commission, we established a Strategic Data Analysis Unit in 2017 and built on this, combining the unit with other ACCC teams including parts of our intelligence team and legal technology unit to create a Data and Intelligence Branch. This recognizes the significant transformation that has occurred in data collection and analysis practices over the past decade.

Elsewhere in the agency, we have taken on new roles with regulatory responsibilities relating to aspects of the emerging digital economy including Australia's national data sharing scheme, the Consumer Data Right, a new national Digital Identity scheme, and an ongoing role in the detection and disruption of scams through facilitating the operation of Australia's National Anti Scam Centre. The ACCC has also undertaken a comprehensive multi-year market study into various digital platform services, which have helped identify and better understand competition and consumer issues in digital markets.

An important piece of work the ACCC has been progressing in parallel has been the development of data screening tools in cartel investigations. Cartels are an insidious form of theft and are therefore an enduring priority for the ACCC. Cartels have long found public sector procurement as an attractive target due to the large budgets and unique nature of the activities. For example, procurement practices are typically highly structured and transparent.

We have found there is considerable potential in leveraging technology to identify suspicious bidding in public procurement processes. The ACCC has been working on its cartel screening project since late 2019, with an initial focus on bid-rigging. It is a collaborative effort between ACCC investigators, economists, intelligence analysts and data scientists, and has provided us with a toolbox comprising a suite of instruments to support the application of a cartel screening workflow.

That workflow extends across a number of sequential steps involving:

- the acquisition of a dataset;
- determining relevant indicators;
- calculating these indicators;
- assessing outputs; and
- investigation.

The key in this process is determining relevant indicators from an acquired data set, with indicators arising from algorithmic-aided calculation aimed at detecting certain anomalies.

The main categories of anomalies are market anomalies, bidding anomalies, and pricing anomalies. In addition, consideration may be given to documentation anomalies (which might include, for example, matching spelling or grammatical errors in competing bids) and submission anomalies.

Once the relevant indicators have been determined and calculated, the next step is to evaluate the outputs. This can involve establishing a relevant threshold for an individual indicator being triggered and how indicators as a whole may be weighed up.

The indicator results also need to be considered in context—with some indicators more likely to be false positives in small markets, or patterns emerging by chance.

In using these data screening tools, we recognize that they can only get us so far. Screens help us check for suspicious behavior in order to start an investigation or prioritize cases, recognizing that screens by themselves will not usually provide sufficient proof of a contravention of competition law. Further analysis and investigation will invariably be needed.

A key learning to date is that the quality and availability of data is fundamental to the effectiveness of screening tools.

Data sources that the ACCC draws on for its work more generally extend across a number of broad categories, including: publicly available data; information kept by public sector authorities; web scraping; data purchased from commercial data providers; and data obtained directly from companies using our statutory information gathering powers.

The data the ACCC has employed for our data screening tools has typically been acquired from the first three sources. While some of the data sources—for example from the Australian Government’s AusTender site—are large, there are a number of dimensions to data quality that are important including: accuracy, completeness, consistency, integrity, timeliness, uniqueness and validity.

One of the challenges in the effective use of data screening processes is to ensure agencies have specialized skills in-house to expertly process and handle data.

The ACCC has benefited from the establishment of its Strategic Data Analysis Unit and Data and Intelligence Branch, with our data teams assisting in a wide variety of matters across the agency. This includes tactical, operational, and strategic advice on matters covering our market studies and monitoring work, as well as our consumer and competition cases.

With the introduction of a new merger control framework in Australia from 1 January 2026, the ACCC will be adopting a risk-based approach to merger assessments, making use of enhanced data and economic analysis. As well as being committed to enhanced economic analysis supported by data at each stage of an individual merger review, as part of this new regime the ACCC will establish new work streams focused on economy-wide competition analysis.

This approach will help us in understanding the effectiveness of the new merger regime, whether there are industries that the ACCC should apply particular attention to and to assist in identifying notable changes in competitive dynamics in certain industries, including from technological change.

This work is expected to draw upon data from various sources including merger reviews, business longitudinal data sets, other government data and other commercial data sources.

As we continue to develop our data and intelligence capabilities at the ACCC, we are balancing strategic choices in relation to the ambition, speed, and prioritization of the rollout. In turn, this is being informed by our desire to entrench a strong culture and baseline capabilities and an appreciation of the need for supporting

technology and infrastructure as well as strong data governance and policy frameworks.

Looking ahead, the success competition agencies have in harnessing data and intelligence will doubtless speak to their effectiveness in delivering their mandates.